

Wealth Strategy Snapshot

Educational Analysis — 2026 Tax Year Planning

Prepared for **Judith Simpson** | March 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as a W-2 professional with self-employment income, existing rental properties, and goals centered on passive income generation, net worth growth, and retirement readiness. The strategies identified address retirement account maximization using 2026 contribution limits (per IRS Rev. Proc. 2025-32), business deduction optimization through your LLC, real estate repositioning, and disciplined capital deployment. Where applicable, strategies reflect provisions of the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, including permanent restoration of 100% bonus depreciation for qualified property.

Based on the modeled scenarios across tax savings, investment income, projected appreciation, real estate, cash flow improvements, and wealth positioning, this snapshot models potential first-year value ranging from **\$72,599** (conservative scenario) to **\$249,547** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor before proceeding.

CONSERVATIVE SCENARIO

\$72,599

Modeled first-year value

AGGRESSIVE SCENARIO

\$249,547

Includes RE acquisition

Current Financial Position

Category	Detail
Filing Status / Age	Single · Age 56 · Cibolo, Texas (0% state income tax)
Dependents	No dependents in household; one or more adult children
W-2 Income	\$100,000–\$149,000 annually (estimated midpoint: ~\$125,000)
Side Business Income	\$10,000–\$24,000 annually (estimated midpoint: ~\$17,000) via Single-Member LLC
LLC Status	Established 2+ years ago · Taxed as sole proprietorship · Not actively used currently
Employer 401(k)	Currently contributing — recently increased to 35% (working toward max)
HSA	Contributing but not maximized
Roth IRA	Income below direct Roth limit — contributing directly
Monthly Expenses	\$4,040 (mortgage \$3,300, utilities \$370, lawn/pest \$220, car insurance \$150) — excludes rental properties
Liquid Capital	\$25,000–\$49,000 (estimated midpoint: \$37,000)
Savings	Under \$5,000
Comfortable Deploying	\$2,000–\$5,000 (estimated midpoint: \$3,500)
Debt	\$30,000 (auto: \$3,371/mo new payment as of 4/1) + \$20,000 credit card
Credit Score	760+
Home	Own primary — minimal or no equity
Emergency Fund	2–3 months
Marginal Tax Rate	22% federal + 0% Texas = 22% combined

Real Estate Holdings

Property	Type	Status
Primary Residence	Owner-occupied	Minimal equity · Mortgage \$3,300/mo
Rental Property #1	Long-term rental	Vacant as of April 1, 2026 · Sat 10 months prior · Mortgage now exceeds rent · Cash-flow negative
Rental Property #2	Intended flip	\$40K invested in rehab · 8 years post-rehab · Needs additional work · Barely cash-flowing · Not yet reported on tax returns

⚠ **Compliance Alert:** Rental Property #2 has not been reported on tax returns. This creates potential exposure for unreported income, missed depreciation deductions, and IRS penalty risk. Immediate CPA consultation is strongly encouraged to evaluate amended returns, depreciation catch-up (Form 3115), and penalty mitigation strategies.

Assets & Resources

Asset	Business Use
Home Office	Yes — dedicated room, exclusive business use
2022 Nissan Armada	Mixed use (25–75% business)
Computer & Tech Equipment	Available for business deduction

Goals (Client-Stated)

Goal	Target
Passive income	\$25,000/month consistently
Net worth (non-RE)	\$1,000,000 by age 65
Primary residence	Paid off by age 65
Retirement withdrawals	\$4,000/month from age 65 to 100 (excluding VA income)
Tax optimization	Minimize tax burden through legal strategies
Real estate	Transition from underperforming LTRs to STR / arbitrage model
Debt reduction	Eliminate \$20K credit card balance

Timeline Awareness & Implementation Considerations (2026)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Week 1 — Urgent Items

- › CPA consultation: unreported Rental Property #2, 2025 filing strategy, amended return evaluation, Form 3115 depreciation catch-up
- › Rental exit analysis: depreciation recapture modeling for both properties — discuss with CPA before listing
- › W-4 review with payroll to optimize 2026 withholding

Week 2 — Positioning

- › Property valuations for both rental properties; listing timeline if exiting
- › Credit card payoff plan from potential sale proceeds
- › Solo 401(k) research — plan must be established by Dec 31, 2026 for employee deferrals. Discuss timing with CPA

Week 3 — Optimization

- › HSA contribution increase to max (\$5,400 for 2026 with catch-up). Verify HDHP enrollment
- › Augusta Rule documentation: fair market rental analysis, board minutes template, LLC operating agreement review
- › Home office measurements and documentation for 2026 deduction

Week 4 — Forward Planning

- › Investment account setup for post-sale capital deployment
- › STR arbitrage market research: San Antonio metro area rental comps, lease terms, furnishing costs
- › 2025 Roth IRA catch-up contribution if not yet made (deadline: April 15, 2026)

2025 Tax Year: Remaining Opportunities

The following 2025 contributions may still be made before April 15, 2026:

Strategy	2025 Limit	Deadline	Your Opportunity
Roth IRA	\$7,000 + \$1,000 catch-up (age 50+) = \$8,000	April 15, 2026	Up to \$8,000 if not already contributed for 2025
HSA	\$4,300 individual + \$1,000 catch-up (age 55+) = \$5,300	April 15, 2026	Difference between current 2025 contributions and \$5,300 max (verify HDHP)
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Available if Solo 401(k) plan was established before Dec 31, 2025
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Alternative if Solo 401(k) not established for 2025

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (affect 2026 forward only), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

Strategy Concept: W-2 401(k) Maximization with Catch-Up

Potential Value: \$7,150 tax savings

What It Is: Maximizing employer-sponsored 401(k) contributions at the 2026 limit of \$24,500 plus the \$8,000 standard catch-up (ages 55–59) for a total of \$32,500. At a 22% marginal rate, this models potential tax savings of \$7,150 while positioning \$32,500 in retirement assets.

How It Works:

1. Payroll deferral set to reach \$32,500 by December 31, 2026
2. Verify catch-up contribution is properly coded; at age 56, standard \$8,000 catch-up applies
3. Coordinate with W-4 adjustments so withholding reflects reduced taxable income

Eligibility Criteria: W-2 employee with employer-sponsored 401(k) plan; age 50+ for catch-up contributions

Verify with CPA. 2026 limits shown. If 2025 W-2 FICA wages reached \$150,000+, SECURE 2.0 requires catch-up contributions to be Roth. At \$100–149K this likely does not apply — confirm with payroll.

Strategy Concept: Solo 401(k) — Employer Contribution via LLC

Potential Value: \$864 tax savings

What It Is: A Solo 401(k) through the existing Single-Member LLC allows employer-side contributions of 25% of net self-employment income. With ~\$17,000 SE income (net ~\$15,700 after SE tax adjustment), this models an employer contribution of ~\$3,925. At 22%, potential tax savings of \$864. Note: employee deferral is already consumed by W-2 401(k).

How It Works:

1. Plan must be established by December 31, 2026 for 2026 contributions
2. Employer contributions can be made until tax filing deadline (plus extensions)
3. Total across all 401(k) plans (employee + employer) may not exceed \$72,000 for 2026

Eligibility Criteria: Self-employment income; no full-time employees (spouse exception applies); LLC must be active for business purposes

Verify contribution limits and plan establishment timing with your CPA. 2026 limits shown. The LLC should be actively conducting business to support this strategy.

Strategy Concept: HSA Maximization with Catch-Up

Potential Value: \$1,188 tax savings

What It Is: Health Savings Accounts offer a triple tax advantage: deductible contributions, tax-free growth, and tax-free qualified withdrawals. The 2026 individual limit is \$4,400 plus \$1,000 catch-up (age 55+) for a total of \$5,400. At 22%, this models \$1,188 in potential tax savings.

How It Works:

1. Must be enrolled in a High Deductible Health Plan (HDHP) — verify current enrollment
2. Increase payroll or personal contributions to reach \$5,400 for 2026
3. HSA funds can be invested for long-term growth beyond the amount needed for current medical expenses

Eligibility Criteria: HDHP enrollment; not enrolled in Medicare; not claimed as a dependent; age 55+ for catch-up

Verify HDHP enrollment status and contribution coordination with your CPA. 2026 limits shown.

Strategy Concept: Roth IRA Contribution with Catch-Up

Potential Value: Long-term tax-free growth on \$8,600

What It Is: Direct Roth IRA contributions allow after-tax dollars to grow tax-free. The 2026 limit is \$7,500 plus \$1,100 catch-up (age 50+) for a total of \$8,600. While no immediate tax deduction, qualified withdrawals in retirement are completely tax-free — supporting the goal of \$4,000/month retirement income.

How It Works:

1. Verify 2026 MAGI remains below direct Roth contribution limits (\$153,000 single phase-out begins; full phase-out at \$168,000)
2. Contribute up to \$8,600 throughout the year or as lump sum
3. Consider investment allocation within Roth for maximum long-term growth

Eligibility Criteria: MAGI below Roth IRA income limit; income reported is below phase-out threshold

Verify income eligibility annually. If income increases above threshold, backdoor Roth conversion may be explored. 2026 limits shown per IRS Notice 2025-67.

Strategy Concept: Augusta Rule (IRC §280A — 14-Day Rental)

Potential Value: \$7,000–\$9,800 tax-free income + \$1,540–\$2,156 business deduction

What It Is: IRC §280A allows a homeowner to rent their personal residence for up to 14 days per year without reporting the rental income. When a business (your LLC) rents the home for legitimate business meetings, the LLC deducts the rental expense while the individual receives tax-free income.

How It Works:

1. Document fair market rental value (comparable venue pricing in Cibolo/San Antonio area: \$500–\$700/day)
2. LLC rents home for 14 legitimate business days (board meetings, strategy sessions, client consultations)
3. Maintain meeting minutes, agendas, attendee records, and rental agreements

Eligibility Criteria: Homeowner; active business entity (LLC); legitimate business purpose for rentals; proper documentation

Documentation is critical for audit defense. Discuss fair market value substantiation and meeting documentation requirements with your CPA. 2026 guidelines.

Strategy Concept: Home Office Deduction

Potential Value: \$440–\$880 tax savings

What It Is: A dedicated room used exclusively for business qualifies for the home office deduction. The simplified method allows \$5/sq ft up to 300 sq ft (\$1,500 max). The regular method deducts the proportional share of home expenses. At 22% marginal rate, this models \$440–\$880 in potential tax savings.

How It Works:

1. Measure dedicated office space square footage; document exclusive business use
2. Choose simplified method (\$5/sq ft) or regular method (proportional expenses) — CPA can model which yields greater deduction
3. Claimed on Schedule C for self-employment income

Eligibility Criteria: Dedicated room used exclusively and regularly for business; self-employment income (not available for W-2 employees)

Verify deduction method and documentation requirements with your CPA. 2026 guidelines.

Strategy Concept: Vehicle Expense Deduction (72.5¢/mile for 2026)

Potential Value: \$798–\$1,595 tax savings

What It Is: Business use of the 2022 Nissan Armada (reported at 25–75% business use) can be deducted using the standard mileage rate of 72.5¢/mile for 2026. At an estimated 5,000–10,000 business miles, this generates a \$3,625–\$7,250 deduction, yielding \$798–\$1,595 in potential tax savings at 22%.

How It Works:

1. Begin mileage log January 1, 2026 (or as soon as possible) — digital apps simplify tracking
2. Record date, destination, business purpose, and odometer readings for every business trip
3. CPA compares standard mileage vs. actual expense method at year-end

Eligibility Criteria: Vehicle used for business purposes; contemporaneous mileage log maintained; self-employment deduction (Schedule C)

Mileage log is essential for audit defense. Discuss standard mileage vs. actual expense method with your CPA. 2026 rate: 72.5¢/mile per IRS Notice 2026-10.

Strategy Concept: Rental Property Exit & Capital Redeployment

Potential Value: Capital recovery + elimination of monthly cash drain

What It Is: Both rental properties are underperforming — one vacant with mortgage exceeding rent potential, the other needing rehab after 8 years. Exiting these positions would recover trapped capital, eliminate negative cash flow, and free resources for higher-yield deployment (STR arbitrage, investments, or debt elimination).

How It Works:

1. CPA models depreciation recapture tax (25% rate on accumulated depreciation) for each property
2. Evaluate 1031 exchange eligibility if proceeds will be reinvested in real estate
3. Net proceeds allocated: CC debt payoff → emergency fund replenishment → capital deployment

Eligibility Criteria: Property ownership; understanding of depreciation recapture implications; 1031 exchange requires like-kind replacement within 180 days

Depreciation recapture and 1031 exchange rules are complex. Critical to model tax implications BEFORE listing. Work with CPA and real estate attorney. Property #2 must be addressed for prior-year tax reporting first.

Strategy Concept: Non-Itemizer Charitable Deduction (New for 2026 — OBBBA)

Potential Value: Up to \$220 tax savings (if applicable)

What It Is: Beginning in 2026, taxpayers who take the standard deduction can deduct up to \$1,000 (single) or \$2,000 (MFJ) in cash charitable contributions. This is a new provision under the One Big Beautiful Bill Act. At 22%, a \$1,000 charitable deduction models \$220 in potential tax savings. This applies only if charitable contributions are made during 2026.

How It Works:

1. Make cash donations to qualified 501(c)(3) organizations during 2026
2. Retain receipts and acknowledgment letters for all contributions
3. Claim deduction on 2026 tax return even when taking the standard deduction

Eligibility Criteria: Cash contributions to qualified charities; standard deduction filer; maximum \$1,000 for single filers

This is a new provision effective 2026. Verify eligibility and documentation requirements with your CPA.

Primary Strategy Education: Real Estate Repositioning

Given the urgency expressed around both rental properties, this section provides educational context on the transition from underperforming long-term rentals to alternative real estate strategies.

Understanding Depreciation Recapture

When selling rental property, the IRS requires recapture of accumulated depreciation at a maximum rate of 25%. For a property held several years with claimed depreciation, this can represent a significant tax event. For Property #2, where depreciation has not been reported, a Form 3115 (Change in Accounting Method) may allow retroactive depreciation claim — potentially creating a large one-time deduction. This is a discussion point for your CPA, as the outcome depends on specific circumstances.

STR Arbitrage Model (Lower Capital Entry)

Component	Typical Range	Notes
Monthly Lease Cost	\$1,500–\$2,500	San Antonio metro market
Furnishing + Setup	\$3,000–\$8,000	Per unit; can be financed/phased
Monthly Gross Revenue	\$3,000–\$6,000	Varies by location, season, occupancy
Monthly Net Cash Flow	\$500–\$2,000	After lease, utilities, supplies, cleaning, platform fees
Time to Launch	2–4 weeks	Lease signing through first booking
Time Commitment	5–10 hrs/week	Aligns with available hours indicated

Arbitrage (leasing and subletting as short-term rental) requires less capital than ownership but does not build equity or generate appreciation. It is commonly used as a cash-flow generation strategy while building capital for ownership positions.

STR Ownership Model (Aggressive Scenario)

Component	Modeled Value	Notes
Property Value	\$350,000– \$400,000	San Antonio metro market
Down Payment (20%)	\$70,000– \$80,000	From rental sale proceeds
Annual NOI	\$25,000– \$35,000	After all operating expenses
Cost Segregation Benefit	\$18,300– \$27,800	25–40% of building basis (80% of property value) reclassified; 100% bonus dep (OBBBA) + Year 1 straight-line on remainder; × 22% marginal rate
Annual Appreciation (3– 6%)	\$10,500– \$24,000	Market-dependent
Mortgage Paydown (Year 1)	\$4,000– \$5,000	Equity build through amortization

OBBBA Update — 100% Bonus Depreciation: The One Big Beautiful Bill Act (signed July 4, 2025) permanently restored 100% bonus depreciation for qualified property acquired and placed in service after January 19, 2025. This means cost segregation studies on newly acquired STR properties allow the reclassified building components (typically 25–40% of building basis) to be fully depreciated in Year 1. This reverses the TCJA phase-down schedule that had reduced bonus depreciation to 40% for 2025 and 20% for 2026 on pre-OBBBA acquisitions.

Cost Segregation Methodology (Corrected): Building basis = property value minus land (typically 20%). A cost segregation study reclassifies 25–40% of building basis to shorter-life property eligible for 100% bonus depreciation. Example at \$375K property: Building basis \$300K → 35% reclassified (\$105K bonus dep) + remaining \$195K ÷ 27.5 years (\$7,091 Year 1 straight-line) = \$112,091 total Year 1 depreciation → \$112,091 × 22% = \$24,660 tax benefit. A qualified engineering study is required.

Real estate projections depend on market conditions, occupancy rates, property management quality, and local regulations. Cost segregation requires a qualified engineering study. Work with a qualified tax professional and

Illustrative Portfolio Scenario

Based on the moderate risk tolerance, passive income goals, 5–10 hours/week availability, and deployable capital indicated in the intake profile.

Capital Basis: Conservative scenario uses \$3,500 (comfortable deploying midpoint). Aggressive scenario uses \$37,000 (liquid capital midpoint). Amounts shown are for educational illustration of how each asset class functions at scale.

Asset Class	Scenario %	Conservative (\$3,500)	Aggressive (\$37,000)	Educational Rationale
Bitcoin	55%	\$1,925	\$20,350	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Moderate allocation reflects balanced risk profile.
STRC	30%	\$1,050	\$11,100	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Addresses passive income goals.
VTI / VOO	15%	\$525	\$5,550	VTI provides broad U.S. equity exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500 for large-cap exposure. Provides diversification beyond crypto.

This scenario models one approach based on the moderate risk profile and passive-income goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. Verify current STRC yield at time of investment — historical yields are not guaranteed. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile.

Modeled First-Year Value Summary (2026 Tax Year)

Category	Item	Conservative	Aggressive	Notes
Category A: Tax Optimization Strategies				
Tax	W-2 401(k) (\$32,500 × 22%)	\$7,150	\$7,150	Max employee deferral + catch-up
Tax	Solo 401(k) Employer (\$3,925 × 22%)	\$864	\$864	25% of net SE income
Tax	HSA Maximization (\$5,400 × 22%)	\$1,188	\$1,188	2026: \$4,400 + \$1,000 catch-up
Tax	Home Office Deduction	\$440	\$880	Simplified vs. regular method
Tax	Vehicle (72.5¢/mi × 5K–10K mi × 22%)	\$798	\$1,595	2026 mileage rate
Tax	Augusta Rule (\$7K–\$9.8K × 22%)	\$1,540	\$2,156	14 days × \$500–\$700/day
Tax	STR + Cost Segregation (Year 1)	\$0	\$24,700	Aggressive only — 100% bonus dep (OBBBA) on building basis
Tax Optimization Subtotal		\$11,980	\$38,533	
Category B: Investment Income (Yield / Dividends)				
Income	STRC Yield (\$1,050 × 10% / \$11,100 × 12%)	\$105	\$1,332	Verify current yield at investment
Income	ETF Dividends (\$525 × 1.5% / \$5,550 × 2%)	\$8	\$111	VTI/VOO distributions
Investment Income Subtotal		\$113	\$1,443	
Category C: Investment Appreciation (Projected Growth)				

Growth	Bitcoin ($\$1,925 \times 25\%$ / $\$20,350 \times 50\%$)	\$481	\$10,175	Highly volatile; not guaranteed
Growth	STRC ($\$1,050 \times 15\%$ / $\$11,100 \times 30\%$)	\$158	\$3,330	Projected; subject to market conditions
Growth	VTI/VOO ($\$525 \times 8\%$ / $\$5,550 \times 12\%$)	\$42	\$666	Based on historical averages

Appreciation Subtotal		\$681	\$14,171	
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CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY — STR ACQUISITION)

RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After all operating expenses
RE	Property Appreciation (4.5% of \$375K)	\$0	\$16,875	Market-dependent
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build via amortization

Real Estate Subtotal		\$0	\$51,375	Conservative = no RE acquisition
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CATEGORY E: CASH FLOW IMPROVEMENTS

Cash Flow	W-4 Optimization (~\$200–\$400/mo $\times$ 12)	\$2,400	\$4,800	Additional monthly take-home
Cash Flow	CC Debt Interest Savings (\$20K at ~20% APR)	\$0	\$4,000	If paid from sale proceeds

Cash Flow Subtotal		\$2,400	\$8,800	
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CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)

Wealth	W-2 401(k) Contributions	\$32,500	\$32,500	\$24,500 + \$8,000 catch-up
Wealth	Solo 401(k) Employer Contribution	\$3,925	\$3,925	25% of net SE income
Wealth	HSA Contributions	\$5,400	\$5,400	\$4,400 + \$1,000 catch-up
Wealth	Roth IRA Contributions	\$8,600	\$8,600	\$7,500 + \$1,100 catch-up
Wealth	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free under 14-day rule
Wealth	RE Equity Position (Down Payment)	\$0	\$75,000	20% down on \$375K property
Wealth Building Subtotal		\$57,425	\$135,225	
TOTAL MODELED FIRST-YEAR VALUE (2026)		\$72,599	\$249,547	

Important: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on modeled rates and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions where applicable. Cost segregation tax benefit calculated on building basis (property value minus 20% land) with 100% bonus depreciation under OBBBA for property acquired after January 19, 2025. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

Date	Item	Notes
April 15, 2026	2025 Roth IRA / HSA contribution deadline	Last day to make prior-year contributions
April 15, 2026	2025 tax return filing deadline	Address unreported rental property with CPA before filing
October 15, 2026	2025 extended filing deadline	Solo 401(k) employer / SEP IRA contributions for 2025 (if extension filed)
December 31, 2026	Solo 401(k) plan establishment	Must be established before year-end for 2026 employee deferrals
December 31, 2026	401(k) employee contributions	W-2 and Solo 401(k) employee deferrals must be made by year-end
December 31, 2026	Augusta Rule rental days	All 14 rental days must occur within the calendar year
April 15, 2027	2026 Roth IRA / HSA contribution deadline	Last day for 2026 prior-year contributions

Verify all deadlines with your tax professional. Some deadlines may shift if they fall on weekends or holidays.

Questions for Your Professional Team

For Your CPA / Tax Professional

- Based on my income (\$100–149K W-2 + \$10–24K SE) and age (56), what are my maximum 2026 retirement contributions across all accounts?
- Do I need to make my 2026 catch-up contributions as Roth under SECURE 2.0, given my 2025 FICA wages?
- What is my exposure from not reporting Rental Property #2? Should we file amended returns or use Form 3115 for depreciation catch-up?
- What is the depreciation recapture tax estimate if I sell both rental properties in 2026?
- Does a 1031 exchange make sense if I plan to purchase an STR property with the proceeds?
- Can I still make 2025 Roth IRA (\$8,000) and HSA (\$5,300) contributions before April 15?
- What documentation do I need for the Augusta Rule, home office, and vehicle deductions?
- Should the LLC elect S-Corp taxation given my current SE income level?
- For a new STR acquisition, what is the correct cost segregation methodology using 100% bonus depreciation under OBBBA?

For Your Financial Advisor

- Given my goal of \$1M net worth by age 65, what annual savings/growth rate does my current trajectory require?
- How should retirement account investments be allocated to target \$4,000/month withdrawal from age 65 to 100?
- What is an appropriate emergency fund target given my fixed expenses and goals?
- How does the investment scenario modeled here align with my overall risk tolerance and timeline?

For Your Real Estate Attorney / Advisor

- What are the legal considerations for STR arbitrage in the San Antonio metro area (lease terms, subletting permissions, local regulations)?
- If purchasing an STR, what entity structure provides optimal liability protection?

→ What are the title and closing considerations for selling both rental properties?

Professional Team for Implementation

Professional	Role in Strategy Implementation	Priority
CPA / Tax Professional	Tax return preparation, amended returns (Property #2), Solo 401(k) setup guidance, Augusta Rule documentation review, depreciation recapture modeling, 1031 exchange coordination, OBBBA provision verification	Immediate — before 2025 filing
Real Estate Attorney	Rental property sale contracts, STR lease/subletting review, entity structure for new RE investments, 1031 exchange qualified intermediary coordination	High — concurrent with property exit
Licensed Financial Advisor	Investment account setup, retirement projections, portfolio allocation implementation, insurance review	Medium — after capital is available
Real Estate Agent	Property valuations for rentals, listing strategy, STR market analysis for acquisition	High — Week 1–2
Insurance Professional	Verify HDHP enrollment for HSA eligibility, landlord/STR insurance for new properties, umbrella policy review	Medium

Seek professionals experienced in real estate investor tax strategies and self-employed retirement planning. Referrals from your existing network or professional organizations are typically most reliable.

Milestone Considerations (2026)

Timeframe	Milestone	Discussion Point
Q1 2026 (Now)	CPA engagement & 2025 filing	Address unreported rental, file or extend 2025 return, model property exits
Q1 2026	Rental exit initiated	Valuations complete, listing strategy confirmed, proceeds allocation planned
Q2 2026	W-4 optimized + HSA maximized	Verify payroll changes reflected in take-home; HSA on track for \$5,400
Q2 2026	CC debt eliminated	If property sale proceeds available, accelerate \$20K payoff
Q3 2026	Solo 401(k) established	Plan documents filed, custodian selected, contributions initiated
Q3 2026	STR arbitrage or acquisition launched	First property identified, lease signed or purchase closed, furnishing underway. If acquiring, confirm property acquired after Jan 19, 2025 for 100% bonus dep (OBBBA)
Q4 2026	Augusta Rule documentation complete	14 rental days completed with full documentation
Q4 2026	Year-end contribution verification	401(k) employee deferrals on track for \$32,500; Solo 401(k) employer contribution scheduled
Q1 2027	Annual review	2026 results vs. modeled projections; adjust 2027 strategy with CPA

These milestones are considerations for discussion with your professional team, not prescribed deadlines. Actual timing depends on property sale timelines, professional availability, and personal readiness.

Educational Resources

2026 Contribution Limits Reference

Account Type	Base Limit	Catch-Up (50+)	Super Catch-Up (60-63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A

Business mileage rate for 2026: 72.5¢/mile. SECURE 2.0: Employees earning \$150K+ FICA wages must make catch-up contributions as Roth starting 2026. OBBBA: 100% bonus depreciation permanently restored for property acquired after Jan 19, 2025; Section 179 expanded to \$2.5M; non-itemizer charitable deduction \$1,000 single / \$2,000 MFJ. Verify all limits at IRS.gov or with your tax professional.

Key IRS Publications (For Reference)

Publication	Topic
IRS Pub 587	Business Use of Your Home
IRS Pub 463	Travel, Gift, and Car Expenses
IRS Pub 527	Residential Rental Property
IRS Pub 560	Retirement Plans for Small Business (Solo 401(k), SEP)
IRS Pub 969	Health Savings Accounts
IRS Pub 544	Sales and Other Dispositions of Assets (depreciation recapture)
IRS Form 3115	Change in Accounting Method (depreciation catch-up)
IRS Notice 2026-11	Bonus Depreciation under OBBBA

Important Disclaimers

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Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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